

India & Laos: Building
Bridges, Expanding
Opportunities, Shaping a
Shared Future

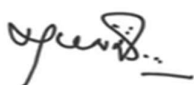
FOREWORD

Laos occupies a distinctive position within Southeast Asia's economic landscape small in market size, yet strategically placed at the heart of the Greater Mekong Subregion, bordering China, Vietnam, Cambodia, Thailand and Myanmar. Its hydropower potential, mineral resources and expanding network of special economic zones give it long-term relevance well beyond what its population or GDP alone would suggest. At the same time, a prolonged period of currency depreciation, high inflation and elevated public debt has constrained the pace and predictability of economic activity, shaping a landscape in which genuine opportunity and genuine caution sit side by side.

India and Laos share a longstanding relationship, marked in 2026 by seventy years of diplomatic ties, rooted in shared Buddhist heritage and a steadily expanding agenda across agriculture, healthcare, energy, digital infrastructure and education. Laos has traditionally looked to India for pharmaceuticals, technical training and capacity building, while India's engagement reflects its wider Act East Policy and interest in deepening ties across the Mekong region as a gateway to ASEAN.

Trade between the two countries remains modest relative to its potential, anchored today in Indian pharmaceutical exports against a narrow set of Lao exports concentrated in precious metals, timber products and select minerals. Categories where genuine complementarity exists agricultural machinery, auto components, agro-processing equipment and renewable-energy technology remain largely untapped.

Looking ahead, the paper sets out a practical set of initiatives through which CCI India can support Indian businesses in engaging with Laos whether through structured B2B matchmaking, institutional dialogue with the Lao National Chamber of Commerce and Industry and the Embassy of the Lao PDR in India, or early-stage sector missions that can be scaled as trade infrastructure and market familiarity deepen. In doing so, CCI India aims to ensure that Indian industry is well positioned to participate in Laos's economic diversification, while remaining realistic about the sectors, formats and pace at which that engagement can responsibly proceed.

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Table of Contents

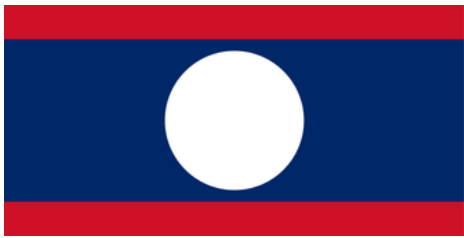
FOREWORD	2
Chapter 1: Country Profile of Laos	6
1.1 Geography and Administrative Structure	6
1.2 Population and Labour Force	6
1.3 Currency, Language and Religion	6
1.4 Regional and Strategic Position	7
1.5 Natural Resources	7
Chapter 2: Laos Economic Overview	8
2.1 GDP, Growth and Structure	8
2.2 Inflation and Currency	8
2.3 Public Debt and Fiscal Position	9
2.4 Trade, Tourism and Investment	9
2.5 Strengths and Structural Weaknesses	9
Strengths	9
Structural Weaknesses	10
Chapter 3: India-Laos Relations	10
3.1 Historical and Diplomatic Relationship	10
3.2 Development Cooperation	11
3.3 Regional Frameworks	11
3.4 Seventy Years of India-Laos Relations: From Diplomatic Friendship to Economic Partnership	11
What CCI India Can Realistically Do Around the Anniversary	12
What Requires Government / Embassy Participation	12
Chapter 4: India-Laos Trade	12
4.1 Overview of Bilateral Trade	12
Why the Trade Relationship Is So Small	13
4.2 Composition of Trade	13
4.3 Untapped Product and Sector Opportunities	14
4.4 Trade Barriers	15
Chapter 5: Investment Relations	16
5.1 Indian Investment in Laos	16
5.2 Lao Investment in India	16
5.3 The FDI Environment in Laos	16
5.4 Investment Incentives	17
5.5 Realistic Investment Opportunities for Indian Companies	17
Chapter 6: Major Sectors of Laos	18
6.1 Agriculture and AgroProcessing	18
6.2 Pharmaceuticals and Healthcare	19
6.3 Automobiles and Auto Components	19

6.4 Commodity Trading.....	20
6.5 Hydropower and Energy	20
6.6 Manufacturing.....	21
6.7 Special Economic Zones and Investment	22
6.8 Startups and Digital Economy.....	23
6.9 Tourism and Hospitality	23
6.10 Infrastructure and Logistics	24
6.11 ICT and Digital Transformation	24
Chapter 7: Major Challenges Facing Laos	25
Chapter 8: SWOT Analysis.....	27
A. Laos SWOT	27
Strengths	27
Weaknesses	28
Opportunities.....	28
Threats	28
B. India Entering Laos: SWOT	28
Strengths	28
Weaknesses	29
Opportunities.....	29
Threats	29
C. India-Laos Economic Cooperation SWOT	29
Strengths	29
Weaknesses	29
Opportunities.....	30
Threats	30
Chapter 9: India-Laos Opportunity Matrix.....	30
Chapter 10: How CCI India Can Contribute.....	31
10.1 CCI India's Ten Roles	31
10.2 India-Laos Business Council / Business Platform	32
10.3 B2B Matchmaking Platform	33
10.4 Trade Delegations	33
India → Laos	33
Laos → India	34
10.5 Investment Facilitation	34
10.6 Laos Market Intelligence Desk	34
10.7 SME Cooperation "India-Laos SME Partnership Programme"	35
10.8 Startup Cooperation "India-Laos Startup & Innovation Bridge"	35
10.9 Skill Development.....	35
10.10 Tourism Cooperation "India-Laos Tourism Business Platform"	36
Chapter 11: Flagship CCI India Initiatives	36

Initiative 1: India-Laos Business & Investment Forum.....	36
Initiative 2: India- Laos B2B Matchmaking Platform	37
Initiative 3: India-Laos Agriculture & Agroprocessing Mission	37
Initiative 4: India-Laos Pharmaceutical & Healthcare Forum.....	38
Initiative 5: India-Laos Energy & Hydropower Forum.....	38
Initiative 6: India-Laos Auto Components & EV Forum.....	39
Initiative 7: India- Laos SEZ Investment Roadshow	40
Initiative 8: India Laos Startup & Innovation Bridge	40
Initiative 9: India-Laos Commodity Trading Initiative	41
Initiative 10: India-Laos SME & Skill Development Programme.....	41
Chapter 12: Partner Ecosystem.....	42
India.....	42
Laos.....	43
Chapter 13: Market Entry Strategy for Indian Companies.....	43
Chapter 14: Risks	45
Conclusion.....	47

LAOS

“A land of gentle rivers and golden temples, where time flows softly and traditions whisper peace into everyday life, embracing a quiet beauty shaped by faith, nature.”



Basic Facts, Population, and Currency

The Lao People's Democratic Republic (Lao PDR), or Laos, is a landlocked nation in Southeast Asia, bordered by Myanmar, China, Vietnam, Cambodia, and Thailand.

As of 2025, the total population of Laos is estimated to be around 7.77 million persons. The capital and largest city is Vientiane. The official currency of Laos is the Lao Kip which is non-convertible and primarily used for local transactions, although US Dollars and Thai Baht are also widely accepted in major cities and tourist areas.

Economy, GDP, and Strategic Diversification

The economy of Laos is classified as a lower-middle-income economy and has long depended on its rich natural resources. Key drivers of growth include agriculture, mining, and hydroelectric power, along with a rapidly growing tourism sector. The country is also working to shift from being “land-locked” to “land-linked” through major infrastructure projects. By 2025, Laos’ nominal GDP is projected to reach about \$18.3 billion, with an expected growth rate of around 4.5%, though challenges such as inflation, exchange rate fluctuations, and external debt may slow progress. The government is also introducing reforms to attract investment and improve public-private partnerships.

Bilateral Trade with India (2025)

The bilateral trade between India and Laos remains modest but is showing signs of growth. While comprehensive annual bilateral trade data for the entire 2025 fiscal year is still forthcoming, recent trends indicate a positive movement. The total bilateral trade value for the fiscal year 2023-24 was reported at \$112.6 million (not in billions, but millions), with India's imports at \$99.7 million and India's exports at \$12.9 million. This represented a growth of 23.4% over the previous year.



“ Culture and Heritage

Laos' culture and heritage are deeply influenced by its long history, Buddhist traditions, and close connection to nature. Theravada Buddhism plays a central role in daily life, shaping values such as simplicity, respect, and spiritual harmony. The country is known for its serene temples, traditional wooden architecture, and cultural practices like almsgiving ceremonies. Classical dance, music, and handicrafts such as weaving and pottery reflect the artistic legacy passed down through generations.

Key Players and Products in India-Laos Trade

India's Exports to Laos:

It is primarily driven by value-added products and include:

- **Key Products:** Pharmaceutical products, vehicles, machinery and mechanical appliances.
- **Key Players/Sectors:** The Indian Pharmaceuticals Sector is a dominant player, along with manufacturers of electrical and engineering goods. India has also accorded the Duty-Free Tariff Preference Scheme to Laos, granting duty-free access for a large majority of Laotian products, which aims to boost trade.

India's Imports from Laos (Key Products & Players)

India's imports from Laos are mainly composed of natural resources and raw materials:

- **Key Products (Recent Trends):** Precious Metals and articles thereof (notably Gold), and Wood/Wood Articles (such as Plywood and Allied Products).
- **Key Players/Sectors:** The Mining and Precious Metals Sector in Laos, along with the Wood and Forestry Sector, are the principal exporters to India.



India and Laos share a long-standing and friendly relationship built on deep historical and civilizational ties. These connections are strongly rooted in a shared heritage of Buddhism and the influence of the Ramayana, which is known locally in Laos as the Phra Lak Phra Lam.

Economic Ties and Cooperation Initiatives

- **Development Assistance:** India provides Lines of Credit to support key infrastructure projects in Laos, particularly in sectors such as power transmission and irrigation. Additionally, India extends grant assistance through Quick Impact Projects (QIPs), focusing on community development and social welfare.
- **Human Resource Development:** India actively contributes to capacity building in Laos by offering annual scholarships and training programs under the Indian Technical and Economic Cooperation Programme. Key institutions established with Indian support include the Lao-India Entrepreneurship Development Centre and the Centre for Excellence in Software Development and Training, which play an important role in skill development and entrepreneurship promotion.

Chapter 1: Country Profile of Laos

The Lao People's Democratic Republic (Lao PDR), commonly Laos, is the only landlocked country in Southeast Asia, bordered by China and Myanmar to the north and northwest, Vietnam to the east, Cambodia to the south, and Thailand to the west along the Mekong River. Its capital and largest city is Vientiane. Laos has been a single party socialist republic under the Lao People's Revolutionary Party since 1975 and is a member of ASEAN, the United Nations, the World Trade Organization (since 2013) and the Mekong Ganga Cooperation initiative that links it institutionally to India.

1.1 Geography and Administrative Structure

Laos covers approximately 236,800 square kilometres and is organised into 18 provinces (kroeng) plus the Vientiane Prefecture, each administered by a provincial governor appointed under the central government. The terrain is dominated by mountains and the Mekong River valley; only a small share of land is arable, which shapes both the country's agricultural profile and its reliance on hydropower as a primary economic resource. Major secondary cities include Luang Prabang (a UNESCO World Heritage town and tourism hub), Savannakhet and Pakse (both key nodes on the EastWest Economic Corridor), and Vientiane's satellite industrial areas.

1.2 Population and Labour Force

Population estimates for Laos in the mid2020s range from approximately 7.65 million (U.S. Department of Commerce Market Overview, 2024 data) to approximately 7.97 million (World meter, 2026 projection); the exact figure depends on census year methodology and should be treated as a range rather than a precise count pending the next official Lao census. The population is notably young roughly half is under 25 and 60% under 35 which is a long run demographic asset, but more than two thirds of the workforce remain engaged in agriculture, mostly small-scale subsistence farming, and labour force quality is a binding constraint: employers report persistent shortages of technically skilled workers, and continuing outmigration (chiefly to Thailand) for better wages compounds domestic shortages.

1.3 Currency, Language and Religion

The national currency is the Lao kip (LAK), which has depreciated sharply since 2018 from roughly 9,000 kip to the US dollar in August 2020 to more than 21,500 kip to the dollar by October 2025 (World Bank) a depreciation that has been a principal driver of the country's inflation crisis. Lao is the official language; French retains some administrative and heritage use, and English is increasingly taught as the language of regional and international business.

Theravada Buddhism is the majority religion and a significant cultural bridge to India, given shared Buddhist heritage and India's role in restoring the Vat Phou temple complex (a UNESCO World Heritage site) under bilateral cooperation.

1.4 Regional and Strategic Position

Laos's government has for two decades pursued a stated ambition to convert the country from "landlocked" to "land linked," using its position at the crossroads of mainland Southeast Asia to become a regional logistics and connectivity hub. The Laos China Railway (Vientiane Boten, opened December 2021 and since extended in service scope) is the most consequential recent infrastructure development, cutting freight and passenger transit times to China and, via connections in Thailand, toward Bangkok and the Gulf of Thailand. The EastWest Economic Corridor (linking Vietnam's Da Nang, through Savannakhet in Laos, to Thailand and Myanmar) and the North South Economic Corridor are the other major regional connectivity arteries running through Lao territory. India regards Laos as strategically significant within its Act East Policy, both as a market in its own right and as a gateway into the wider Mekong subregion and ASEAN.

1.5 Natural Resources

Laos is resource rich relative to its population: hydropower potential exploiting the Mekong and its tributaries; copper, gold, potash, tin, gypsum and other minerals; and substantial forestry and agricultural land suited to cash crops (coffee, rubber, cassava, maize). Mining and hydropower have historically been the two largest drivers of foreign direct investment and export earnings, though both are capital intensive, foreign investor led sectors that generate comparatively limited direct employment.

Table 1.1: Laos Country Snapshot

Attribute	Detail
Official name	Lao People's Democratic Republic (Lao PDR)
Capital	Vientiane
Population	~7.657.97 million (2024-2026 range; confirm against next census)
Administrative units	18 provinces + Vientiane Prefecture
Political system	Single party socialist republic (Lao People's Revolutionary Party)
Currency	Lao Kip (LAK)
Official language	Lao
Majority religion	Theravada Buddhism
ASEAN membership	Member since 1997

Attribute	Detail
WTO membership	Member since 2013
Land area	~236,800 sq. km; landlocked, bordered by 5 countries
Key connectivity assets	Laos China Railway; EastWest Economic Corridor; North South Economic Corridor

Chapter 2: Laos Economic Overview

2.1 GDP, Growth and Structure

Laos's GDP is small in absolute terms cited variously as roughly US\$16 billion in current price terms for 2024 and US\$19 billion for 2026 (Measured World, drawing on IMF/World Bank series), with a PPP adjusted alternative estimate of over US\$100 billion for 2025-2026 from World Economics, which argues official GDP understates the size of Laos's informal economy (estimated at 28% of activity) and uses an outdated GDP base year. GDP per capita is correspondingly low: approximately US\$2,282,403 in nominal terms (2025/2026, World meter), though PPP adjusted per capita income (around US\$10,000/11,000) places Laos closer to lower middle income peers. Growth has been recovering from a difficult 2020-2023 period: GDP grew an estimated 3.7% in 2023, 4.04.1% in 2024, and per the World Bank's most recent (December 2025) Lao Economic Monitor 4.2% in 2025, driven by tourism, transport, electricity generation, mining, agriculture and manufacturing. The ADB's April 2026 Asian Development Outlook projects growth moderating to about 4.0% in 2026 (from 4.4% in its own 2025 estimate) amid renewed external risks including an early 2026 global oil price shock that pushed Lao fuel prices sharply higher.

2.2 Inflation and Currency

Inflation has been the defining macroeconomic story of Laos's recent history. Headline consumer price inflation peaked above 31% across 2023 (World Bank), driven by kip depreciation and Laos's high import dependence (the World Bank notes that a 1% fall in the kip's value raises consumer prices by roughly 0.5%). Inflation eased through 2024 2025 as monetary and fiscal tightening took hold: the World Bank's December 2025 update recorded average inflation of 8.5% over the first ten months of 2025, down from 24.5% a year earlier, while the ADB's April 2026 outlook shows inflation edging back up toward 9.8% in 2026 on the back of higher global oil prices, electricity tariff adjustments and wage increases. The kip has partially stabilised international reserves reached a record US\$4.2 billion by March 2026, equivalent to about 3.8 months of import cover, per the World Bank's June 2026 Lao Economic Monitor but remains vulnerable to external shocks, as the early 2026 oil price spike (which nearly doubled domestic gasoline and diesel prices at its peak) demonstrated.

2.3 Public Debt and Fiscal Position

Public debt sustainability remains Laos's principal macro financial vulnerability, and different credible sources report materially different figures depending on scope. The World Bank's Lao PDR country overview page (2025) cites public and publicly guaranteed debt at approximately 88% of GDP, while in earlier 2023-2024 communications the Bank described debt levels using a broader 116% of GDP figure; UN data (CDP monitoring report, 2025) cites external debt at 132% of GNI as of 2022; and Trading Economics, sourcing the Bank of the Lao PDR, records a narrower government debt to GDP ratio of 68.7% for 2024, projected by its econometric models to rise toward 79.83% by 2025-2027. This report treats the range as genuinely unsettled pending a single reconciled Lao government figure, and recommends that any CCI India investment facilitation material cite the World Bank's Lao Economic Monitor series (updated twice yearly) as the primary reference, while flagging the alternative figures for context. What is not in dispute is direction: Laos remains dependent on debt service deferrals (worth roughly 16% of GDP by end 2023, per the World Bank) and returned to international bond markets only in November 2025, a step that has eased near term financing pressure but has not resolved the underlying debt overhang.

2.4 Trade, Tourism and Investment

Laos ran a trade surplus in 2024, with the Lao National Chamber of Commerce and Industry recording total external trade of US\$16.3 billion exports of US\$8.1 billion (down 2.7% year on year) and imports of US\$8.2 billion (up 14%). Leading export items include electricity, salt, gold ore and gold bars, electrical appliances, rubber, paper, cassava, wood pulp and clothing; leading imports are diesel, mechanical equipment, land vehicles, finished chemical products, steel and electronics. China, Thailand and Vietnam dominate both Laos's export and import trade, and together with Japan, Singapore, South Korea, Switzerland, Australia, Indonesia and Cambodia account for the great majority of Laos's foreign investment and trade activity a competitive landscape any new entrant, including Indian business, must recognise from the outset. Tourism has been a strong recovery driver: foreign tourist arrivals rose 21% in 2024 (World Bank), supporting transport and services growth. Foreign direct investment remains concentrated in electricity/hydropower and mining, sectors that are capital intensive and typically dominated by large regional players (China, Thailand, Vietnam) rather than open, diversified investor pools.

2.5 Strengths and Structural Weaknesses

Strengths

- Strategic "land linked" position at the centre of the Greater Mekong Subregion, with improving rail and road connectivity to China, Vietnam and Thailand.
- Abundant natural resources: hydropower potential, minerals (copper, gold, potash, tin) and arable land suited to cash crops.

- A young, growing population and a small but expanding urban middle class in Vientiane, Savannakhet, Pakse and Luang Prabang.
- A network of 12 operational special economic zones with tax and administrative incentives, and government ambition to expand this further.
- Improving macro stability in 2025-2026 relative to the 2022-2024 inflation crisis, with record foreign exchange reserves reached in early 2026.

Structural Weaknesses

- Elevated and disputed public debt levels, with debt service obligations projected to average roughly US\$1.3 billion annually from 2025 to 2027 absent further deferrals (World Bank).
- Persistent double digit adjacent inflation risk tied closely to currency movements and imported fuel costs.
- Labour shortages and skills gaps, compounded by continuing outmigration, primarily to Thailand.
- Small domestic market size, limiting the scale opportunity for consumer facing Indian exporters relative to ASEAN peers such as Vietnam or Indonesia.
- Infrastructure and logistics gaps outside the main corridors, and a business environment where the U.S. State Department's 2025 Investment Climate Statement flags corruption, weak judicial independence and, in a small number of SEZs, links to transnational organised crime (including the U.S. Treasury's auctioned Golden Triangle SEZ) as material risks investors must screen for.

The strategic reading for CCI India is that Laos's economic transition from a resource and debt dependent growth model toward services, manufacturing diversification and regional connectivity creates a genuine, but narrow and execution dependent, window of opportunity. Indian engagement should be sector selective, riskware, and paced to the country's continuing macro stabilisation rather than treated as a broad, uniformly promising frontier market.

Chapter 3: India-Laos Relations

3.1 Historical and Diplomatic Relationship

India and Laos established diplomatic relations in February 1956, building on earlier contact: Prime Minister Jawaharlal Nehru visited Laos in 1954, and independent India's first President, Rajendra Prasad, visited in 1956. The relationship has been consistently friendly and low friction, resting on shared Buddhist cultural heritage, India's consistent diplomatic support for Laos within multilateral fora, and Laos's reciprocal support for India's aspirations including candidacy for a permanent UN Security Council seat.

High-level exchanges have continued over the decades, including Vice-president Hamid Ansari's 2015 visit (during which five "quick impact projects" were signed), and most recently period of intensified engagement through 2024-2026: External Affairs Minister Dr S. Jaishankar visited in July 2024, followed by Prime Minister Narendra Modi's engagement in October 2024, alongside cooperation agreements covering defence, broadcasting, customs and further Quick Impact Projects (QIPs).

3.2 Development Cooperation

India's development cooperation with Laos spans capacity building, education (ICCR scholarships, including for Lao Buddhist monks to study in India), healthcare, ICT, agriculture, infrastructure and energy. Notable current programmes documented on the Embassy of India, Vientiane website include the restoration of the Vat Phou temple complex (a UNESCO World Heritage site at Champasak), an IT Centre and National Data Centre established under bilateral digital solutions MoUs signed in 2024, Quick Impact Projects such as an irrigation water system in Champi Village (Champasak province), and Operation Sabha humanitarian relief support (10 tonnes of supplies delivered via the Embassy). Lines of credit and hydro power/power transmission cooperation have also featured historically in the relationship, alongside a 2019 Air Services Agreement intended to support future direct connectivity.

3.3 Regional Frameworks

Beyond the bilateral channel, India and Laos cooperate through ASEAN (of which India is a dialogue partner), the Mekong Ganga Cooperation initiative (linking India with Cambodia, Laos, Myanmar, Thailand and Vietnam across culture, education, transport and tourism), and the UN system. These frameworks give CCI India additional institutional touchpoints for instance, Mekong Ganga Cooperation business and connectivity dialogues through which chamber level engagement can be anchored without needing to build every relationship bilaterally from scratch.

3.4 Seventy Years of India-Laos Relations: From Diplomatic Friendship to Economic Partnership

2026 marks the 70th anniversary of the establishment of India-Laos diplomatic relations (February 1956 February 2026). This is a verified, dateable institutional milestone, not a marketing construct, and it is already generating concrete activity: the 2nd India-Laos Business Forum was convened in New Delhi in June 2026, with Lao Deputy Prime Minister Thongsavanh Phomvihane and India's Ministry of External Affairs (represented by Additional Secretary (South) Prashant Agrawal) both participating, alongside the Lao National Chamber of Commerce and Industry (LNCCI).

At that forum, the Lao Deputy Prime Minister explicitly invited Indian businesses "not merely as investors, but as long term strategic partners," citing opportunities in clean agriculture, renewable energy, ICT, advanced logistics, pharmaceuticals, tourism, finance and manufacturing a list that maps closely onto the sector chapters that follow in this report.

What CCI India Can Realistically Do Around the Anniversary

- Organise or co-anchor a CCI India delegation to a Lao business forum, timed to the anniversary calendar, in coordination with the Ministry of External Affairs and the two embassies (not in competition with them).
- Propose a joint CCI India LNCCI business publication or sector white paper timed to the anniversary, profiling realistic near-term opportunities rather than generic celebratory content.
- Convene sector specific roundtables (pharmaceuticals, agro processing, auto components, renewable energy) inviting Lao counterparts identified through the LNCCI's 5,000plus member network.
- Launch the CCI India Laos Desk publicly at an anniversary linked event to maximise visibility and credibility with both governments.

What Requires Government / Embassy Participation

- Any formal government to government MoU, treaty amendment, or diplomatic protocol event remains the responsibility of the Ministry of External Affairs and the two embassies; CCI India's role is to support attendance and business content, not to negotiate on government's behalf.
- Visa facilitation, official credentialing of delegations, and formal state functions are embassy functions; CCI India can request embassy support for these but cannot substitute for them.
- Investment treaty level issues (e.g., a prospective India Laos Bilateral Investment Treaty, tax treaties) are matters for the two governments; CCI India can advocate for such instruments on behalf of members but should not represent itself as negotiating them.

Chapter 4: India-Laos Trade

4.1 Overview of Bilateral Trade

Bilateral India Laos trade is very small in absolute terms and has been for decades. Lao Deputy Prime Minister Thongsavanh Phomvihane, addressing the June 2026 India Laos Business Forum, put total bilateral trade at just over US\$82 million for 2024. UN Comtrade mirror data, accessed via Trading Economics, shows a similar order of magnitude but with some divergence depending on which side's customs records are used: India's exports to Laos were recorded at approximately US\$12.4 million in 2024.

While India's imports from Laos were recorded at approximately US\$77.6 million in 2024 (a total of roughly US\$90 million on this India side accounting), and Laos side mirror data for 2023 showed Laos exports to India of approximately US\$82.9 million and Laos imports from India of approximately US\$25.3 million. These figures should be treated as broadly indicative rather than precisely reconciled recurring feature of small value bilateral trade data, where single large shipments (particularly of gold, silver and other precious metals from Laos to India) can swing the annual total materially from one year to the next.

Why the Trade Relationship Is So Small

- Geography: Laos is landlocked and physically distant from India, with no direct land connectivity and limited direct air links, making logistics costs high relative to consignment value for most trade goods.
- Laos's overwhelming trade orientation toward its immediate neighbours China, Thailand and Vietnam collectively account for the large majority of Lao trade leaves comparatively little "room" in Lao import demand that India currently captures.
- Absence, until very recently, of dedicated institutional trade promotion infrastructure between the two countries: the 2nd India Laos Business Forum (June 2026) followed a first such forum roughly a decade and a half earlier (a Lao India Business Forum was held in Vientiane in March 2011, according to the Lao PDR's own Market Access Guide for India), indicating long gaps in sustained institutional engagement.
- Limited awareness among Indian MSMEs of Laos as a market, and correspondingly limited awareness among Lao importers/distributors of Indian suppliers, beyond a narrow set of pharmaceutical and vehicle categories.

4.2 Composition of Trade

Table 4.1: India's Principal Exports to Laos, 2024

Product Category	Value (US\$)	Year
Pharmaceutical products	6.26 million	2024
Vehicles (other than railway/tramway)	1.84 million	2024
Machinery, nuclear reactors, boilers	1.42 million	2024
Organic chemicals	1.10 million	2024
Tobacco and manufactured tobacco substitutes	0.56 million	2024
Electrical and electronic equipment	0.46 million	2024
Optical, photographic, medical apparatus	0.23 million	2024
All other categories (combined)	~0.45 million	2024
Total India exports to Laos	12.36 million	2024

Table 4.2: India's Principal Imports from Laos, 2024

Product Category	Value (US\$)	Year
Pearls, precious stones, precious metals, coins	31.65 million	2024
Electrical and electronic equipment	29.96 million	2024
Wood and articles of wood, wood charcoal	10.71 million	2024
Lead	1.55 million	2024
Lac, gums, resins	1.47 million	2024
Rubber	1.35 million	2024
Optical, photographic, medical apparatus	0.68 million	2024
All other categories (combined)	~0.26 million	2024
Total India imports from Laos	77.63 million	2024

The pattern is telling: India's imports from Laos are dominated by precious metals (gold and related bullion/scrap, a category that is volatile and often reflects reexports or investment linked flows rather than Lao origin manufacturing or agriculture) and electronics/wood products, while India's exports are led by pharmaceuticals the one category where India already holds a clear, demonstrated comparative advantage in the Lao market. Notably absent, or present only in token volumes, are categories where India has strong export capability and Laos has stated demand: agricultural machinery, auto components (as opposed to finished vehicles), processed foods, medical devices, and renewable energy equipment. This gap is the core of the opportunity this report addresses.

4.3 Untapped Product and Sector Opportunities

Table 4.3: Illustrative Untapped or Under Traded Categories

Category	Current Trade Status	Rationale for Priority
Generic pharmaceuticals and vaccines (beyond current base)	Already India's top export category but well below potential	India is the "pharmacy of the world"; Laos has limited domestic manufacturing
Agricultural machinery and irrigation equipment	Minimal recorded trade	Laos's Deputy PM explicitly cited "clean agriculture" as a priority sector, June 2026
Auto components and commercial vehicle aftermarket parts	Finished vehicles traded in small volumes; components largely untapped	Growing vehicle fleet in Laos; India has globally competitive component manufacturing

Category	Current Trade Status	Rationale for Priority
Processed/packageged foods and agro processing equipment	Minimal	Complements Lao cash crop exports (coffee, rubber, cassava) needing value addition
Renewable energy and grid equipment	Minimal	Laos's Power Development Plan targets 1,000 MW solar by 2025 and 3,000 MW by 2030
IT/ICT services and software	Not separately tracked in merchandise trade	Laos actively building digital government infrastructure with India's support (2024 MoUs)
Textiles, garments and leather goods	Small volumes	Complementary to Lao SEZ light manufacturing ambitions

4.4 Trade Barriers

- Logistics: absence of direct sea, rail or efficient air freight connectivity; goods typically route via Thailand or Vietnam ports, adding cost, time and handling risk.
- Customs and documentation: differing standards and certification regimes, and limited mutual recognition arrangements, add friction for categories such as pharmaceuticals and food products that require regulatory approval in Laos before import.
- Standards and market entry information gaps: Indian exporters, particularly MSMEs, report limited visibility into Lao import regulations, distributor networks and payment/financing norms a gap the ASEAN India Free Trade Agreement (AIFTA) framework does not, by itself, close.
- Financial sector constraints: limited correspondent banking relationships and trade finance infrastructure between Indian and Lao banks constrain payment and letter credit mechanisms, especially for smaller transaction sizes typical of MSME trade.
- Market size and awareness: with a population under 8 million and modest per capita income, Laos is simply not a market most Indian exporters proactively research; addressing this requires active outreach rather than waiting for organic discovery.

Under the ASEAN India Free Trade Agreement (AIFTA), most goods traded between India and ASEAN members including Laos already benefit from preferential tariff treatment; the binding constraint on India Laos trade growth is therefore less about tariffs than about logistics, market information, standards alignment and the absence, until 2026, of sustained institutional trade promotion machinery precisely the gap a chamber of commerce is positioned to fill.

Chapter 5: Investment Relations

5.1 Indian Investment in Laos

Indian direct investment in Laos is limited and not separately or consistently tracked in the way that Chinese, Thai or Vietnamese investment is. Publicly available Lao and Indian government sources do not provide a reconciled, current figure for cumulative Indian FDI stock in Laos; where this report cannot verify a specific claim of Indian investment presence, it states so explicitly rather than estimating. What is documented is Indian government to government development cooperation (Quick Impact Projects, IT/digital infrastructure grants, the Vat Phou restoration) rather than largescale private commercial investment. This stands in contrast to China, Thailand and Vietnam, all of which have substantial private investment stakes in Lao hydropower, mining and SEZ based manufacturing.

5.2 Lao Investment in India

There is no material, separately identifiable flow of Lao investment into India; given the size of the Lao economy and its private sector, this is unsurprising and is not treated in this report as a gap requiring a dedicated programme, beyond ensuring Lao investors (for example, in Agri commodity trading or logistics) have a straightforward path to explore Indian partnerships should interest arise. Where such interest does emerge, it is likely to be opportunistic and relationship-led rather than the result of formal outward investment promotion from the Lao side, and would be best served by existing bilateral chambers of commerce and investment facilitation windows rather than a new standalone mechanism.

5.3 The FDI Environment in Laos

Laos's FDI is concentrated overwhelmingly in electricity/hydropower and mining, sectors that are capital intensive, typically project financed, and dominated by state linked or large private investors from China, Thailand and Vietnam. The U.S. Department of State's 2025 Investment Climate Statement for Laos notes that new SEZs in Vientiane and Savannakhet have begun attracting manufacturers from Europe, North America and Japan evidence of gradual diversification but the same report flags material investment climate risks: rampant corruption described as a major obstacle for foreign investors, weak judicial independence and enforcement capacity, and, in a small number of specific SEZs (the report names the Golden Triangle SEZ), documented links to transnational organised crime including online scam operations, with that particular zone's operators subject to U.S. Treasury sanctions. This is an important, specific risk flag: CCI India should ensure any SEZ facilitation activity explicitly steers members toward zones with clean investment climate track records (Savan Seno, VITA Park, Saysettha) and away from zones carrying documented governance or security concerns.

5.4 Investment Incentives

Lao SEZ policy (anchored in Decree No. 443/PM of 2010 and zone specific decrees such as Decree No. 177/PM for Savan Seno) offers tax holidays that vary by sector and zone: at Savan Seno, for example, the services sector receives a profit tax exemption for 210 years (an 810% rate thereafter depending on investment scale), the trade sector receives a 25 year exemption (10% thereafter), and the industrial sector receives a 510 year exemption (8% thereafter), according to the Savan Seno SEZ Investment Promotion and Management Committee. These incentive structures differ zone by zone; CCI India members should always confirm current, zone-specific terms directly with the relevant SEZ management committee or the national Special Economic Zone Promotion and Management Office (SEZO) under the Ministry of Planning and Investment before committing capital, as decree level incentives are periodically revised.

5.5 Realistic Investment Opportunities for Indian Companies

Given Laos's market size, debt position and infrastructure constraints, this report counsels realism over enthusiasm. Indian companies are more likely to find near term traction through asset light or joint venture models than through large greenfield manufacturing commitments. Priority formats include:

- Contract manufacturing and light assembly within existing SEZs (e.g., pharmaceutical repackaging/finishing, agro processing, garment and light electronics assembly), leveraging Lao SEZ tax incentives and EastWest Corridor access to regional markets.
- Joint ventures with Lao or regional partners in agro processing, cold chain and warehousing, where Indian technology and Lao raw material supply (coffee, cassava, rubber) can be combined.
- EPC (engineering, procurement, construction) and equipment supply roles in renewable energy and grid modernisation, as subcontractors or technology partners to larger regional developers rather than as primary project sponsors, given Laos's debt constrained public balance sheet and the dominance of Chinese and Thai capital in large hydropower financing.
- Franchise, distribution and representative office models in pharmaceuticals, healthcare services, auto aftermarket and consumer goods lower capital entry points suited to Indian MSMEs and midsize firms that are CCI India's natural membership base.
- Portfolio or minority participation in Lao SME growth, channelled through India's development finance institutions (e.g., EXIM Bank of India lines of credit) where such instruments exist or can be extended, rather than direct equity risk taking by individual private investors unfamiliar with the market.

This report does not identify any largescale, verified, named Indian private investment project currently operating in Laos; where CCI India materials reference "Indian investment in Laos" for promotional purposes, they should either cite specific verified projects or use forward looking, aspirational language rather than implying an established investment base that does not yet exist.

Chapter 6: Major Sectors of Laos

This chapter examines eleven priority sectors using a consistent structure Laos need, Indian capability, business opportunity, and CCI India's role while applying the commercial realism test brief throughout: is there genuine Lao demand, is the market large enough to matter, what would Indian suppliers actually be competing against, and what can CCI India realistically facilitate versus what requires government action.

6.1 Agriculture and AgroProcessing

Agriculture employs more than two thirds of Laos's workforce, yet productivity is low and value addition minimal most cash crops (coffee, rubber, cassava, maize) are exported in raw or semi processed form. Laos's own Deputy Prime Minister identified "clean agriculture" as a named priority for Indian partnership at the June 2026 Business Forum. India's capability here is genuine and differentiated: agricultural machinery manufacturing (tractors, implements), drip and sprinkler irrigation technology, cold chain and postharvest storage systems, food processing and packaging machinery, and Agri input industries (seeds, fertilisers, crop protection products) are all areas where Indian companies compete globally.

- Laos needs: mechanisation of smallholder farming; irrigation to reduce weather dependence; cold chain to cut postharvest losses; processing capacity to capture more value from cassava, coffee and rubber before export.
- Indian capability: globally competitive tractor and implement manufacturers; drip irrigation majors; food processing equipment makers; Agri input companies with ASEAN export experience.
- Business opportunity: distributor/dealer partnerships for machinery and irrigation equipment; joint venture processing facilities in or near SEZs; Agri input supply contracts, subject to Lao regulatory approval for seeds and agrochemicals.
- CCI India role: organise an Agriculture & Agroprocessing trade mission; connect Indian machinery/irrigation exporters with LNCCI identified Lao distributors; commission a short feasibility notes on cold chain investment near Savannakhet before recommending capital commitments.

6.2 Pharmaceuticals and Healthcare

Pharmaceuticals are already India's leading, verified export category to Laos (US\$6.26 million in 2024, over half of total Indian exports to Laos) the one sector where a track record already exists to build on. Laos has limited domestic pharmaceutical manufacturing and relies substantially on imports; healthcare infrastructure outside Vientiane remains under resourced, and telemedicine and medical device gaps persist across provincial hospitals.

- Laos needs: affordable generic medicines; medical devices and diagnostics; hospital equipment and training; telemedicine linkage to reduce urban rural care gaps.
- Indian capability: the world's largest generic medicine exporter by volume; substantial API and formulation manufacturing base; growing medical device and diagnostics industry; telemedicine platforms with regional deployment experience.
- Business opportunity: expanding generics distribution beyond current volumes; medical device and diagnostics partnerships with Lao hospitals; potential local formulation/packaging investment in an SEZ to serve Laos and reexport regionally under AIFTA preferences, subject to feasibility confirmation; telemedicine pilot partnerships with provincial hospitals.
- CCI India role: B2B matchmaking between Indian pharma/device exporters and Lao importers/hospital networks; a dedicated Pharmaceutical & Healthcare Forum; regulatory orientation briefings so Indian exporters understand Lao Ministry of Health registration requirements before shipping.

6.3 Automobiles and Auto Components

This report deliberately does not assume Laos will become a vehicle manufacturing hub the domestic market is too small and Thailand's established automotive cluster dominates regional supply. The realistic opportunity lies downstream of finished vehicle trade, which itself remains small (US\$1.84 million in Indian vehicle exports to Laos in 2024).

- Laos needs: affordable commercial vehicles and two wheelers suited to rural terrain; agricultural machinery; auto spare parts and repair/service capacity, given a growing but ageing vehicle fleet; early-stage EV and charging infrastructure aligned with Laos's renewable energy ambitions.
- Indian capability: globally competitive two wheeler and commercial vehicle manufacturers; one of the world's largest auto components industries; growing EV component and charging infrastructure capability.
- Business opportunity: auto components and aftermarket parts distribution (currently near absent from recorded trade); commercial vehicle and two wheeler dealership/distribution partnerships; agricultural machinery sales (overlapping with Section 6.1); early feasibility work on EV two/three wheeler assembly for the Lao and cross border Mekong market, contingent on confirmed demand.

- CCI India role: prioritise auto components and aftermarket over finished vehicle manufacturing promotion; convene an Auto Components & EV Forum pairing Indian component makers with Lao dealer/repair networks; avoid overstating manufacturing hub potential in any promotional material.

6.4 Commodity Trading

Laos exports agricultural commodities (rice, coffee, tea, rubber) and minerals (copper, potash, gold, tin) that are largely absorbed by China, Thailand and Vietnam through established trading relationships. India's role here is more plausible as a buyer/processor of Lao raw commodities (particularly coffee and rubber, where Indian demand exists) than as a supplier.

- Laos needs: diversified export markets beyond the three dominant neighbours; better price discovery and quality grading infrastructure; access to financing for smallholder and cooperative producers.
- Indian capability: largescale commodity trading houses and processing industries (coffee roasting, rubber processing, copper/mineral processing) with global sourcing experience.
- Business opportunity: direct sourcing agreements between Indian traders/processors and Lao producer cooperatives or exporters, particularly for coffee and rubber; warehousing and quality control joint ventures near Savannakhet or Vientiane logistics hubs.
- CCI India role: convene a Commodity Trading Initiative connecting Lao producer/exporter associations (via LNCCI) with Indian trading house members; commission market studies on Lao coffee and rubber export quality standards before matchmaking, since quality/certification gaps are a known barrier to entering premium Indian or reexport markets.

6.5 Hydropower and Energy

Hydropower is central to Laos's growth model and its ambition to be the "battery of Southeast Asia," exporting electricity regionally. The sector is dominated by Chinese and Thai developers and financiers, and Lao public debt is itself substantially linked to hydropower borrowing a factor that should temper any assumption that large new Indian financed hydropower projects are imminent.

The more realistic opening is in engineering services, equipment supply, operations and maintenance (O&M), and the fast-growing solar segment, where Laos's Power Development Plan targets 1,000 MW of installed solar capacity by 2025 and 3,000 MW by 2030.

Laos needs: diversification beyond hydropower into solar and storage; O&M expertise to extend the life of ageing hydropower assets; grid modernisation and transmission capacity to support electricity exports; engineering capacity that is not solely dependent on its two largest current partners.

- Indian capability: large, competitive EPC and renewable energy engineering sector; solar module and component manufacturing; grid technology and transmission equipment industries; extensive O&M experience across hydropower, thermal and renewable assets domestically and in other ASEAN/South Asian markets.
- Business opportunity: subcontractor or technology partner roles in solar development within Lao SEZs (several of which, such as Boten Mohan, are explicitly promoted for solar manufacturing investment); O&M service contracts for existing hydropower plants; grid equipment supply contracts, generally in partnership with or as a downstream supplier to the Chinese, Thai or multilateral financed lead developers rather than as primary project sponsor.
- CCI India role: convene an Energy & Hydropower Forum (Flagship Initiative 5) targeted specifically at O&M and solar equipment supply roles rather than large project financing, which is beyond most Indian private developers' risk appetite in the current Lao debt environment; connect Indian renewable equipment exporters with Electricité du Laos (EDL) and SEZ solar zone promoters.

6.6 Manufacturing

Beyond automotive and pharma, Laos's broader manufacturing base remains nascent: light manufacturing (garments, footwear, food processing, basic electronics assembly) is concentrated in a handful of SEZs (notably VITA Park and Savan Seno) and driven mainly by Chinese, Thai, Vietnamese, Japanese and some European/North American investors seeking export platforms.

- Laos need: diversification of the manufacturing base; technology transfer and skills development for higher value manufacturing; export oriented production to serve regional and global markets under Laos's LDC and, prospectively, post LDC graduation trade preferences.
- Indian capability: deep experience across food processing, garments/textiles, light electrical products, packaging and industrial components, much of it exportable to smaller emerging markets seeking a first foreign manufacturing partner.
- Business opportunity: SEZ based contract manufacturing (food processing, packaging, garments) targeting both the domestic Lao market and regional reexport via the EastWest Corridor; technology licensing or joint venture arrangements with Lao SEZ developers.
- CCI India role: include manufacturing site visits in every SEZ focused delegation; connect interested Indian MSME manufacturers with SEZ management committees for facility and incentive briefings.

6.7 Special Economic Zones and Investment

Laos operates 12 special economic zones as of 2025, established under the framework Decree No. 443/PM (2010), building on the pioneering Savan Seno SEZ (established 2003 under Decree No. 177/PM). The government's stated ambition, per ADB research, is to expand this to as many as 40 zones over the coming decade, though execution pace should be treated cautiously given the ADB's own finding that inconsistent legal frameworks and administrative capacity have hindered SEZ effectiveness to date.

Table 6.1: Which Lao SEZ Is Suitable for Which Indian Industry?

SEZ	Location Connectivity /	Suitable Industries	Indian	Notes
Savan Seno SEZ	Savannakhet; on the EastWest Economic Corridor, near the 2nd Lao Thai Friendship Bridge	Agroprocessing, light manufacturing, logistics, services, auto components		Laos's first and most established SEZ (2003); ~193 registered companies and ~US\$584m cumulative investment reported at the Savannakhet zone cluster
VITA Park (Vientiane Industrial & Trade Area)	~22km from Vientiane Capital	Textiles, electronic parts assembly, retail/trade centre, training		Closer to government ministries and financial institutions; useful for administratively intensive ventures
Saysettha Development Zone	Vientiane Capital	ICT, services, light manufacturing		Positioned near the capital's urban and government infrastructure
Boten Beautiful Land SEZ (Boten Mohan)	Luang Namtha Province, on the China border	Solar/renewable component manufacturing, cross border trade, logistics		Positioned for China linked supply chains; promoted for solar manufacturing investment
Thana Leng / Vientiane logistics linked zones	Near Vientiane, close to the Laos China Railway and Thai border	Logistics, warehousing, dry port linked distribution		Thana Leng Dry Port

Indicative tax treatment at Savan Seno illustrates the general SEZ incentive structure: profit tax exemptions of 210 years for services, 25 years for trade, and 510 years for industrial activities, with 810% corporate profit tax applying thereafter depending on sector and investment scale. Investors should always confirm current terms directly with SEZO or the relevant zone management committee, as SEZ decrees are periodically revised and vary zone by zone.

6.8 Startups and Digital Economy

Laos's startup ecosystem is at an early-stage relative to regional peers such as Vietnam or Thailand, but digital economy foundations are being actively built, including through Indian supported digital government infrastructure. Priority verticals for a Lao digital economy include FinTech (given low banking penetration outside Vientiane), Agri Tech, and ecommerce/logistics tech to serve the country's dispersed, low-density population.

- Laos needs: digital financial inclusion; ecommerce and last mile logistics solutions suited to low population density; Agri Tech tools for smallholder productivity; local digital skills capacity.
- Indian capability: one of the world's largest and most mature startup and digital public infrastructure ecosystems (UPI style payment rails, Startup India institutional architecture, a deep investor and mentor base).
- Business opportunity: founder to founder exchange and mentorship; Indian FinTech/Agri Tech firms piloting light footprint deployments in Laos ahead of larger ASEAN entry; incubation partnerships with Lao universities and the National University of Laos.
- CCI India role: build an India-Laos Startup & Innovation Bridge founder exchange visits, investor introductions (calibrated to Laos's genuinely small addressable market; this is a capability building and relationship building initiative more than a near term revenue driver), and technology pilot facilitation rather than large capital raising promises.

6.9 Tourism and Hospitality

Tourism is one of Laos's clearer growth successes: foreign arrivals rose 21% in 2024 (World Bank), and the sector, alongside transport, has been a consistent driver of recent GDP growth. Buddhist and cultural tourism including the Vat Phou UNESCO site restored with Indian support, and broader shared heritage narratives (including Ramayana tradition cultural links present across the Buddhist and Southeast Asian world) offer a differentiated angle for Indian outbound tourism promotion and potential Indian hospitality investment.

- Laos needs: diversified source markets beyond its traditional regional visitor base; hospitality investment and skills training; improved air connectivity, given the 2019 Air Services Agreement has not yet translated into significant direct India-Laos flight capacity.
- Indian capability: a very large outbound leisure and pilgrimage/heritage travel market; hospitality brands and hotel management expertise; travel trade companies with regional Southeast Asia experience.

- Business opportunity: Indian travel companies packaging Buddhist heritage circuits (Laos alongside other Buddhist sites in the region); hotel management or franchise partnerships in Luang Prabang, Vientiane and Vat Phou adjacent areas; MICE (meetings, incentives, conferences, exhibitions) cooperation linked to the growing calendar of India-Laos business events.
- CCI India role: build a Tourism Business Platform connecting Indian tour operators/hospitality groups with Lao counterparts via LNCCI's tourism members; advocate (with, not instead of, the two governments) for expanded direct or one stop connecting air capacity, since connectivity is the single largest practical constraint on this sector's growth.

6.10 Infrastructure and Logistics

Laos's "land linked" strategy rests on a small number of flagship logistics assets: the Thana Leng Dry Port near Vientiane (Laos's principal inland container handling facility, linking to Thai rail and the Laos-China Railway), the Vientiane Logistics Park, and the EastWest and North South Economic Corridors. These are the physical backbone through which any Indian goods trade with Laos and any Indian-Laos as a gateway strategy toward southern China or northern Thailand would actually flow.

- Laos needs: expanded warehousing and cold chain capacity; multimodal transport efficiency improvements (road rail river interchange); border crossing facilitation to reduce transit times.
- Indian capability: substantial logistics, warehousing and multi modal transport engineering and operating expertise, and (via Indian Railways linked and private logistics firms) rail logistics knowhow relevant to the Laos-China Railway's onward integration needs.
- Business opportunity: warehousing/logistics park joint ventures near Thana Leng or Savannakhet; consulting and engineering services contracts for corridor and dry port capacity expansion; longer term potential for Indian logistics operators to use Laos as a transit gateway toward southern China, contingent on further connectivity and customs facilitation development.
- CCI India role: include Thana Leng Dry Port and Vientiane Logistics Park visits in every delegation; connect Indian logistics/warehousing firms with Lao infrastructure authorities and SEZ developers; treat this as an enabling, crosscutting sector supporting all others rather than a standalone vertical.

6.11 ICT and Digital Transformation

Beyond the startup ecosystem, Laos is building broader digital government and digital economy infrastructure, an area where India's own Digital India/Adhaar linked public infrastructure experience is a genuinely differentiated offering relative to what China, Thailand or Vietnam typically provide.

- Laos needs: digital government services, cloud infrastructure, cybersecurity capacity, FinTech/digital payments rails, and smart city pilots.
- Indian capability: globally recognised digital public infrastructure model (India Stack), a large IT services export industry, and demonstrated cross border digital solutions cooperation with Laos already underway (2024 IT Centre/National Data Centre MoUs).
- Business opportunity: expansion of Indian IT services engagement beyond the initial government to government digital MoUs into commercial software, cybersecurity and business process services contracts with Lao public and private clients.
- CCI India role: support Indian IT/ICT companies engaging with Lao public sector digital projects as commercial partners once government to government MoU groundwork is in place; avoid duplicating or appearing to compete with the existing MEA led digital cooperation track, and instead position CCI India members as implementation and commercial scaleup partners.

Chapter 7: Major Challenges Facing Laos

This chapter analyses seventeen structural challenges, each assessed for why it matters, its business impact, a potential Indian response, and CCI India's specific role. Challenges are grouped for readability; the underlying table format required by the brief follows each group.

Table 7.1: Challenge Response Matrix

Challenge	Why It Matters	Business Impact	CCI India Role
1. Public debt	Debt (est. 68.788%+ of GDP depending on measure) constrains public spending and crowds out private credit	Limits public infrastructure co investment; raises sovereign risk perception among investors	Cite balanced, sourced debt figures in all materials; avoid overstating public co investment potential
2. Currency vulnerability	Kip depreciated from ~9,000/USD (2020) to 21,500+/USD (2025)	Raises import costs for Indian exporters' Lao buyers; complicates pricing and contracts	Advise members to price in USD/hard currency where possible; flag FX risk in matchmaking briefs
3. Inflation	Averaged 8.5% in 2025 (down from 24.5%), edging back up toward ~9.8% in 2026	Erodes purchasing power for Lao buyers of imported Indian goods	Time trade missions to macro stability windows; monitor via Laos Market Intelligence Desk

Challenge	Why It Matters	Business Impact	CCI India Role
4. Labour shortages	Two thirds of workforce in agriculture; skilled worker shortage flagged as top constraint in 2025 Enterprise Survey	Constrains any Indian manufacturing/JV investment requiring skilled local staff	Support SME/skill development programme partnering Indian ITIs/training institutes
5. Labour migration/ outmigration	Continuing outmigration, chiefly to Thailand, for better wages	Reduces available local talent pool for JV partners	Same as above; also flag as a long term structural risk in feasibility briefs
6. Skills shortages	Weak technical/vocational training base	Raises training cost and time to productivity for Indian investors	Propose India supported vocational training pilots (manufacturing, healthcare, auto)
7. Low productivity	Structural, tied to skills and mechanisation gaps	Limits near term absorptive capacity of Lao economy for largescale trade/investment	Prioritise sectors (agri machinery, agro processing) that directly target productivity gaps
8. Economic diversification need	Heavy reliance on hydropower/mining exports and volatile commodity receipts	Creates opening for Indian manufacturing/service entrants in underserved sectors	Sector selective delegations targeting explicitly underserved verticals
9. Infrastructure gaps	Logistics costs high outside main corridors	Raises delivered cost of Indian goods; slows JV project timelines	Prioritise SEZ and corridor adjacent site selection in all facilitation work
10. Logistics costs	No direct sea access; landlocked with limited direct India connectivity	Structurally disadvantages India versus China/Thailand/Vietnam on cost and speed	Advocate for direct/one stop air freight and connectivity; explore Thana Leng routed logistics partnerships
11. MSME financing	Limited trade finance and correspondent banking between Indian and Lao banks	Constrains transaction size and payment terms for smaller Indian exporters	Convene financial institution roundtable; explore EXIM Bank of India line of credit options

Challenge	Why It Matters	Business Impact	CCI India Role
12. Import dependence	High reliance on imported fuel, machinery, chemicals	Creates genuine, sizeable Indian export opportunity in these categories	Match Indian exporters in fuel adjacent, machinery and chemical categories to Lao importers
13. Climate change / weather risk	Costly floods (e.g., 2018) have previously triggered growth slowdowns	Raises agricultural and hydropower revenue volatility, indirectly affecting all trade partners	Encourage climate resilient Agri tech and irrigation offerings matchmaking
14. Hydropower dependence	Sector is capital intensive, debt linked and dominated by two neighbours	Limits Indian entry to O&M/equipment supply roles rather than project sponsorship	Position Indian offer explicitly as O&M/solar/equipment partner, not project financier
15. Regulatory / business environment risk	State Dept. 2025 report flags corruption, weak judicial independence; specific SEZ linked organised crime concerns	Raises reputational and operational risk for Indian investors, especially in flagged zones	Steer members toward reputable, verified SEZs; commission independent due diligence briefs
16. Small domestic market	Population under 8 million with modest per capita income	Limits consumer goods export scale relative to effort required	Frame Laos as a strategic gateway/pilot market and regional corridor play, not a standalone mass market
17. External economic vulnerability	Exposed to global oil price and regional demand shocks (e.g., early 2026 oil shock)	Creates unpredictable short-term swings in Lao import demand and pricing	Build flexibility into delegation and matchmaking timing; monitor World Bank/ADB updates twice yearly

Chapter 8: SWOT Analysis

A. Laos SWOT

Strengths

- Strategic "land linked" position at the centre of the Greater Mekong Subregion with improving rail/road connectivity.
- Rich natural resource endowment: hydropower, minerals, arable land for cash crops.

- Young population and 12 operational SEZs offering structured investment incentives.
- Improving macro stability in 2025-2026 versus the 2022-2024 crisis period.

Weaknesses

- Elevated, disputed public debt and continuing debt service pressure through 2027.
- Persistent inflation and currency depreciation risk.
- Labour shortages, skills gaps and continuing outmigration.
- Small domestic market and infrastructure gaps outside main corridors.

Opportunities

- Diversification of trade and investment partners beyond China, Thailand and Vietnam.
- Continued SEZ expansion (government ambition of up to 40 zones over the coming decade).
- Growing tourism sector and regional connectivity via the Laos China Railway.
- Solar/renewable energy buildout under the Power Development Plan.

Threats

- Debt distress or renewed currency crisis if fiscal discipline slips.
- External shocks (global energy prices, regional demand slowdown) given high trade/GDP exposure.
- Governance and organised crime risk concentrated in specific SEZs, which could deter broader foreign investor sentiment if unaddressed.
- Continued dominance of China/Thailand/Vietnam crowding out new entrants' access to the best projects and partners.

B. India Entering Laos: SWOT

Strengths

- Strong existing comparative advantage in pharmaceuticals, already demonstrated in trade data.
- Deep bench of MSME exporters/manufacturers in agri machinery, auto components, and processed foods well suited to a small market like Laos.
- No political or debt related baggage in the relationship, unlike some larger regional players.
- Active, warming diplomatic relationship reinforced by the 2026 70th-anniversary calendar.

Weaknesses

- No direct logistics connectivity; high freight cost and time relative to China/Thailand/Vietnam.
- Very low current awareness of Laos among Indian MSMEs and exporters.
- Limited institutional trade promotion infrastructure to date (only a nascent business forum track record).
- Thin trade finance and banking linkages between the two countries.

Opportunities

- First mover advantage in under traded categories (Agri machinery, auto components, agro processing, renewable O&M) before competitors saturate them.
- 70th-anniversary momentum and an active 2026 business forum calendar to build on.
- AIFTA tariff preferences already in place, reducing one layer of market entry friction.
- A credible institutional champion (CCI India) willing to build a dedicated desk and programme.
- Laos's role as a land-linked corridor within the wider Mekong-India Economic Corridor and its ASEAN connectivity, offering Indian exporters and investors a strategic gateway into the broader CLMV and southern China markets.

Threats

- Established, capital deep incumbents (China, Thailand, Vietnam) with decades of relationship capital.
- Risk that without sustained institutional follow through, momentum from the 2026 anniversary dissipates as it did after the 2011 Lao-India Business Forum.
- Lao macro volatility could disrupt payment terms or project timelines for early mover Indian companies.

C. India-Laos Economic Cooperation SWOT

Strengths

- Complementary economic profiles: Indian supply capability in exactly the categories Laos names as priorities (agriculture, pharma, renewable energy, ICT).
- Existing goodwill, cultural affinity (shared Buddhist heritage, Vat Phou restoration) and government level cooperation to build commercial activity on top of.

Weaknesses

- Extremely low base US\$82 million bilateral trade means almost any absolute dollar target requires multi fold growth, which will take sustained, patient effort.
- No standing chamber to chamber (CCI India LNCCI) institutional relationship yet exists.

Opportunities

- A defined three-year window to build durable institutional infrastructure before the anniversary driven attention fades.
- Regional gateway potential: Laos as an entry point to the wider Mekong/ASEAN market for Indian companies not yet ready for larger ASEAN economies.

Threats

- Risk of the relationship remaining symbolic/diplomatic rather than converting into measurable commercial activity, as has arguably been the pattern for much of the preceding decade.
- Competition for Lao counterpart attention from better resourced Chinese, Thai and Vietnamese chambers and state linked investment promotion bodies.

Chapter 9: India-Laos Opportunity Matrix

The matrix below consolidates analysis into a single prioritisation tool, ranking each opportunity by tier: Tier 1 (Immediate, 012 months), Tier 2 (Medium Term, 13 years), and Tier 3 (Long Term, 3+ years).

Table 9.1: India-Laos Opportunity Matrix

Sector	Laos Need	Business Opportunity	CCI India Role	Tier
Pharma & Healthcare	Affordable generics, devices, diagnostics	Expand existing export base; device/diagnostic partnerships	Matchmaking; Pharma Forum	Tier 1
Agri machinery & Agroprocessing	Mechanisation, irrigation, cold chain	Distributor/JV partnerships; processing JVs	Agriculture Mission; site visits	Tier 1
Auto Components & Aftermarket	Spare parts, repair capacity	Component/aftermarket distribution	Auto & EV Forum	Tier 1
Commodity Trading (coffee, rubber)	Diversified export markets	Direct sourcing/processing JVs	Commodity Trading Initiative	Tier 1
SEZ based Light Manufacturing	Manufacturing base diversification	Contract manufacturing, JV facilities	SEZ roadshow, site visits	Tier 2
Renewable Energy O&M / Solar Equipment	Diversify beyond hydropower; hit 3,000MW solar target by 2030	Subcontractor/equipment supply roles	Energy & Hydropower Forum	Tier 2

Sector	Laos Need	Business Opportunity	CCI India Role	Tier
Logistics & Warehousing	Corridor/dry port capacity expansion	JV warehousing; engineering services contracts	Include in every delegation itinerary	Tier 2
Tourism & Hospitality	Diversified visitor markets, hotel investment	Heritage tourism packaging; hotel partnerships	Tourism Business Platform	Tier 2
ICT & Digital Government	Cloud, cybersecurity, digital services	Commercial follow-on to 2024 govt. MoUs	Support commercial scaleup partnerships	Tier 2
Startups & Digital Economy	FinTech/Agri Tech inclusion tools	Founder exchange; pilot deployments	Startup & Innovation Bridge	Tier 3
Largescale Hydropower Investment	Additional generation/export capacity	Project cofinancing (high risk/capital)	Not a near term CCI India focus	Tier 3

This tiering deliberately places capital intensive, high barrier opportunities (large hydropower project financing, for instance) in Tier 3, and lower capital, relationship dependent opportunities that build on an already proven trade category (pharmaceuticals) or a clearly stated Lao government priority (agriculture) in Tier 1. This sequencing is designed to let CCI India generate visible early wins that justify sustained institutional investment in the programme over the following two years.

Chapter 10: How CCI India Can Contribute

This chapter sets out, in detail, how CCI India can add value to India-Laos economic relations. Throughout, a clear line is maintained between what CCI India as a private, member driven chamber of commerce can do on its own initiative, and what necessarily requires coordination with, or sits within the remit of, the Ministry of External Affairs, the Embassy of India in Vientiane, the Embassy of the Lao PDR in New Delhi, and the Lao National Chamber of Commerce and Industry (LNCCI).

10.1 CCI India's Ten Roles

- Connector introducing Indian and Lao businesses that would otherwise never discover each other, given the near total absence of organic trade flow outside pharmaceuticals.
- Business facilitator helping members navigate Lao market entry, regulatory requirements and SEZ procedures.
- B2B matchmaker running structured, sector specific matchmaking rather than generic delegation visits.

- Investment bridge connecting Indian investors/JV partners to vetted Lao projects and SEZ opportunities.
- Market intelligence provider maintaining and publishing current, sourced data that individual member companies cannot economically gather alone.
- Technology connector linking Indian technology providers (Agri tech, renewable energy, digital) to Lao demand.
- SME facilitator ensuring the relationship is accessible to midsized and small Indian companies, not only large conglomerates already served by other chambers.
- Capacity building partner supporting skills and vocational training cooperation that addresses Laos's most binding structural constraint (labour skills).
- Trade mission organiser running well-prepared, sector focused delegations with prearranged B2B meetings rather than generalist "familiarisation" trips.
- Longterm institutional partner building a standing CCI India LNCCI relationship that survives changes in individual officials on either side.

10.2 India-Laos Business Council / Business Platform

CCI India should establish a standing India-Laos Business Council as its primary institutional vehicle for this relationship, structured as follows:

- **Membership:** open to CCI India member companies with active or prospective interest in Laos, organised into sector committees mirroring priority sectors (pharma/healthcare, agriculture, auto components, energy, logistics, tourism, ICT).
- **Governance:** quarterly council meetings, an annual India-Laos Business Summit (potentially co-located with the anniversary calendar or an existing CCI India flagship event), and clear terms of reference distinguishing council activity from government-to-government tracks.
- **Activities:** sector committee calls, matchmaking pipeline reviews, delegation planning, and a shared repository of Lao market intelligence available to council members.
- **Government coordination:** the council should maintain a standing liaison channel with the Embassy of India, Vientiane and the Embassy of the Lao PDR, New Delhi, briefing both on planned activity and inviting embassy participation in flagship events, without requiring embassy signoff for routine B2B work.
- **Business services:** company verification support for members exploring Lao partners, template due diligence checklists, and introductions to Indian trade finance institutions willing to support Laos bound transactions.
- **Structure:** a council operating under CCI India's existing governance, cochaired by a CCI India council member and, ideally, a senior LNCCI representative, formalised through a bilateral MoU.

10.3 B2B Matchmaking Platform

A structured matchmaking process, rather than ad hoc introductions, is what will differentiate CCI India's Laos programme from one off delegation visits that generate goodwill but few transactions.

The process should run as follows:

- **Buyer/supplier identification:** work through the LNCCI's 5,000plus member network and CCI India's own regional chamber federation to build sector specific longlists of prospective Lao buyers/distributors and Indian suppliers.
- **Business verification:** apply a basic verification checklist (registration status, years' operating, sector fit, prior import/export activity where relevant) before introducing any counterpart to members, to protect CCI India's credibility.
- **Sector matching:** pair companies by the Tier1 priority sectors first, expanding to Tier 2 sectors as the programme matures.
- **Meetings:** structured, prebriefed one to one meetings (in person during delegations, virtual in between) rather than open networking sessions alone.
- **Follow up and deal tracking:** a simple CRM style tracker (even a shared spreadsheet in the first year) recording introductions made, meetings held, and outcomes, to demonstrate programme value to CCI India leadership and to members.

10.4 Trade Delegations

India → Laos

- **Participants:** CCI India member companies from the relevant sector committee, ideally 1525 companies' permission to keep logistics and matchmaking quality manageable.
- **Sector focus:** one or two Tier1 sectors per mission (e.g., pharma + healthcare on one mission; Agri machinery + agro processing on another) rather than an unfocused multisector trip.
- **Government meetings:** courtesy calls on the Lao Ministry of Industry and Commerce and, where feasible, the Special Economic Zone Promotion and Management Office, arranged with Embassy of India support.
- **B2B meetings:** prearranged, LNCCI facilitated meetings following the matchmaking process.
- **Site visits:** at least one SEZ visit and, for agriculture/logistics missions, a Thana Leng Dry Port visit.
- **Expected outcomes:** a defined minimum number of signed MoUs, distributor agreements or letters of intent per mission, tracked against the KPIs.

Laos → India

- **Reciprocal delegations:** Ideally timed around CCI India's own flagship events (such as the Bharat Startup Summit) to give Lao visitors exposure to CCI India's broader ecosystem, plus dedicated Lao focused B2B sessions and, where appropriate, SEZ/manufacturing cluster visits in India relevant to Lao investors' interests (e.g., agro processing clusters, pharma manufacturing hubs).
- **Participants:** Lao government officials (Ministry of Industry and Commerce, Ministry of Planning and Investment) alongside LNCCI representatives and a small cohort of Lao private sector companies, kept compact to ensure quality engagement.
- **Expected outcomes:** strengthened institutional relationships to support future India → Laos missions, alongside at least one concrete follow-up commitment (pilot project, training tie-up, or expression of interest) per visit.

10.5 Investment Facilitation

- **Project identification:** work with the Lao Investment Promotion and Management Committee and SEZ management committees to build a vetted pipeline of investable projects suited to Indian mid-sized investors.
- **Investor identification:** match projects to CCI India members with relevant sector experience and risk appetite, being explicit about capital intensity and risk profile.
- **Partner matching:** connect Indian investors to appropriate Lao JV partners, screened through the due diligence checklist.
- **SEZ connections:** maintain direct relationships with the management committees of the SEZs prioritised.
- **Financial institution connections:** convene Indian banks and EXIM Bank of India to explore trade finance and line of credit instruments suited to Laos bound transactions.
- **Professional services connections:** maintain a referral list of Indian legal, accounting and consulting firms with Southeast Asia/Laos experience for members needing market entry advisory support.

10.6 Laos Market Intelligence Desk

CCI India should establish a "CCI India Laos Market Intelligence Desk" as a standing internal function (not necessarily a large team this can begin as a part-time desk within CCI India's existing research function) tasked with keeping the data in this report current and filling the specific gaps identified throughout (for example, reconciled public debt figures, verified Indian investment presence in Laos, and SEZ-level FDI by source country data that Laos does not currently publish in granular form).

- **Sector reports:** periodic (semi-annual) updates to the sector chapters in this report, refreshed against the World Bank's twice yearly Lao Economic Monitor and ADB outlook cycle.

- **Trade data:** maintained links to the Department of Commerce's India Trade Portal / Export Import Data Bank as the authoritative source for India side figures.
- **Buyer/importer database:** built progressively through the matchmaking process, not purchased or invented.
- **Investment pipeline:** the vetted project.
- **Regulatory alerts:** monitoring of Lao SEZ decree changes, tariff and customs updates relevant to AIFTA preference goods.
- **Tender information:** monitoring of Lao government and multilateral (World Bank/ADB financed) tenders relevant to CCI India member capabilities, particularly in infrastructure, energy and agriculture.
- **Market newsletters:** a quarterly member newsletter summarising desk findings, positioned as a tangible membership benefit that justifies continued institutional investment in the Laos programme.

10.7 SME Cooperation" India-Laos SME Partnership Programme"

Given that Laos's market size makes it a naturally MSME scale opportunity rather than a large conglomerate one, CCI India should design its core Laos programme around MSME accessibility from the outset: lower cost participation tiers for delegation travel, template contracts and due diligence tools sized for smaller legal/compliance budgets, and matchmaking prioritised for companies without existing export infrastructure to Southeast Asia.

This approach would also make the programme more replicable for other small or frontier markets where CCI India seeks to support first-time exporters. Digital-first engagement formats, such as virtual introductions and pre-vetted contact lists, could further reduce costs for MSMEs unable to travel for in-person delegations.

10.8 Startup Cooperation "India-Laos Startup & Innovation Bridge"

Relationship and capability building initiative rather than a near term revenue driver, given Laos's still early-stage startup ecosystem: founder exchange visits, mentor matching, and small-scale technology pilots (particularly Agri Tech and FinTech, aligned to Laos's stated priorities) rather than large investor roadshows.

10.9 Skill Development

Given that labour and skills shortages are, among Laos's most binding constraints, CCI India can add distinctive value here by connecting Lao vocational training needs with Indian ITI (Industrial Training Institute) networks, sector skill councils, and corporate CSR linked training programmes, focused initially on manufacturing, agriculture, automotive service, healthcare support roles, energy (solar installation/maintenance).

ICT directly supporting the sectors prioritised elsewhere in this report. Such linkages could take the form of short-term exchange programmes, trainer-of-trainers models, or joint certification frameworks tailored to Lao industry needs.

10.10 Tourism Cooperation "India-Laos Tourism Business Platform"

A standing platform connecting Indian tour operators and hospitality groups with Lao counterparts, with advocacy (in coordination with, not instead of, government) for improved direct or one stop air connectivity as the sector's single largest constraint.

Such a platform could also support joint marketing efforts and package development to build demand ahead of any connectivity improvements.

Chapter 11: Flagship CCI India Initiatives

This chapter develops ten flagship programmes CCI India can launch or lead, each specified with objectives, stakeholders, timeline, KPIs and risk mitigation, so that CCI India leadership can select and sequence them against the roadmap.

Initiative 1: India-Laos Business & Investment Forum

Objective: Establish an annual, CCI India anchored forum as the flagship convening event for the bilateral business relationship, building on the momentum of the June 2026 2nd India Laos Business Forum.

Problem addressed: Absence of a sustained, institutionally owned annual convening (the gap between the 2011 and 2026 forums shows what happens without one).

Target participants: 150-250 delegates: CCI India members, LNCCI members, government officials, financial institutions.

- Indian stakeholders: CCI India leadership, sector committee member companies, EXIM Bank of India, Indian trade finance institutions.
- Lao stakeholders: LNCCI, Lao Ministry of Industry and Commerce, SEZ management committees.
- Government stakeholders: Ministry of External Affairs, Embassy of India (Vientiane), Embassy of Lao PDR (New Delhi).
- Activities: Annual summit alternating between New Delhi and Vientiane; sector breakout sessions; matchmaking meetings; MoU signing ceremony.
- Timeline: First CCI India anchored edition within 12 months; annual thereafter.
- CCI India role: Primary organiser/convenor, in coordination with MEA and both embassies.
- KPIs: Delegate numbers; MoUs signed; post forum matchmaking meetings generated.

- Risks: Risk of low turnout or a purely ceremonial event with no follow through.
- Mitigation: Tie every forum to a concrete follow up matchmaking pipeline with tracked outcomes reported at the next edition.

Initiative 2: India- Laos B2B Matchmaking Platform

Objective: Operationalise the structured matchmaking process as a standing, year-round CCI India service.

Problem addressed: Absence of any systematic mechanism connecting Indian and Lao businesses outside periodic events.

Target participants: CCI India member companies across Tier1 and Tier2 sectors; LNCCI member companies.

- Indian stakeholders: CCI India sector committees.
- Lao stakeholders: LNCCI and its sector associations.
- Government stakeholders: None required for routine operation; embassies briefed periodically.
- Activities: Verified buyer/supplier database; scheduled virtual and in person matchmaking meetings; deal tracker.
- Timeline: Launch within 6 months; continuous thereafter.
- CCI India role: Platform owner and operator.
- KPIs: Number of verified introductions; conversion rate to signed agreements.
- Risks: Data quality risk if counterpart information is not properly verified.
- Mitigation: Apply the verification checklist before every introduction; maintain LNCCI as a co-verification partner.

Initiative 3: India-Laos Agriculture & Agroprocessing Mission

Objective: Lead a dedicated trade mission connecting Indian Agri machinery, irrigation and agro processing companies with Lao producers, cooperatives and SEZ processors.

Problem addressed: Laos's explicitly stated "clean agriculture" priority (Deputy PM, June 2026) remains largely unaddressed by current trade flows.

Target participants: 15-25 Indian Agri sector companies; Lao agricultural cooperatives and processors.

- Indian stakeholders: Agri machinery manufacturers, irrigation technology firms, agro processing equipment makers, Agri input companies.
- Lao stakeholders: LNCCI agriculture members, provincial cooperatives (via LNCCI), Savanna khet area processors.

- Government stakeholders: Lao Ministry of Agriculture and Forestry (for regulatory context on seeds/agrochemicals).
- Activities: Mission to Savannakhet/Vientiane; farm and processing facility visits; B2B meetings; feasibility briefing on cold chain investment.
- Timeline: Within Year 1.
- CCI India role: Mission organiser; matchmaking lead.
- KPIs: Number of distributor/JV agreements signed within 12 months of the mission.
- Risks: Regulatory delay for agri input products requiring Lao approval.
- Mitigation: Brief participants on registration timelines in advance; prioritise machinery/equipment (lighter regulatory touch) in the first mission.

Initiative 4: India-Laos Pharmaceutical & Healthcare Forum

Objective: Build on India's existing pharma export lead by expanding into devices, diagnostics and hospital partnerships.

Problem addressed: India's pharma exports to Laos, while the largest category, remain a fraction of India's global generics capability.

Target participants: Indian pharma/device exporters; Lao importers, hospital administrators, Ministry of Health representatives.

- Indian stakeholders: Pharma and medical device exporters, telemedicine platforms.
- Lao stakeholders: Lao hospital networks, pharmaceutical importers/distributors.
- Government stakeholders: Lao Ministry of Health (registration/regulatory briefing).
- Activities: Forum with regulatory orientation session, hospital partnership matchmaking, device demonstrations.
- Timeline: Within Year 1.
- CCI India role: Forum organiser and regulatory briefing facilitator.
- KPIs: New distributor agreements; device/diagnostic pilot placements in provincial hospitals.
- Risks: Registration/regulatory delays for new product categories.
- Mitigation: Partner with experienced regulatory affairs consultants for the briefing session.

Initiative 5: India-Laos Energy & Hydropower Forum

Objective: Position Indian companies for O&M, solar equipment and grid technology roles rather than large project financing.

Problem addressed: Laos's solar targets (1,000MW by 2025, 3,000MW by 2030) and O&M needs for its hydropower fleet are underserved by current India-Laos engagement.

Target participants: Indian renewable energy EPC and equipment firms; Electricité du Laos (EDL); SEZ solar zone promoters.

- Indian stakeholders: Renewable energy EPC and equipment manufacturers, grid technology firms.
- Lao stakeholders: EDL, SEZ management committees (e.g., Boten Mohan for solar manufacturing).
- Government stakeholders: Lao Ministry of Energy and Mines (context/regulatory briefing).
- Activities: Forum plus site visit to an operating hydropower or solar facility; O&M and equipment supply matchmaking.
- Timeline: Within Year 12.
- CCI India role: Forum organiser; connector to EDL and SEZ promoters.
- KPIs: Signed O&M or equipment supply contracts/MoUs.
- Risks: Risk of members overreaching into large project financing roles unsuited to their risk appetite.
- Mitigation: Explicitly frame and market the forum around O&M/equipment/subcontractor roles, not project sponsorship.

Initiative 6: India-Laos Auto Components & EV Forum

Objective: Build a realistic, components and after market focused auto sector relationship, explicitly avoiding overstated manufacturing hub narratives.

Problem addressed: Indian vehicle exports to Laos are minimal and componentry/aftermarket trade is essentially untapped.

Target participants: Indian auto component manufacturers and after-market parts distributors; Lao vehicle dealers and repair networks.

- Indian stakeholders: Auto component manufacturers, two-wheeler/commercial vehicle makers, EV component firms.
- Lao stakeholders: Lao vehicle dealerships, repair shop networks (via LNCCI).
- Government stakeholders: None required for routine operation.
- Activities: Forum with dealer/repair network matchmaking; feasibility discussion on EV two/three-wheeler assembly.
- Timeline: Within Year 2.
- CCI India role: Forum organiser.
- KPIs: Distribution agreements signed for components/aftermarket parts.
- Risks: Risk of promotional material implying an unrealistic manufacturing hub opportunity.

- Mitigation: Apply the commercial realism guardrail to all marketing collateral.

Initiative 7: India- Laos SEZ Investment Roadshow

Objective: Introduce Indian mid-sized manufacturers and investors to Laos's SEZ system, prioritising zones with clean governance track records.

Problem addressed: Low awareness among Indian manufacturers of Lao SEZ incentives; risk of uninformed exposure to governance flagged zones.

Target participants: Indian manufacturers considering Southeast Asian production platforms.

- Indian stakeholders: Manufacturers across agro processing, light electronics, garments/textiles.
- Lao stakeholders: SEZ management committees for Savan Seno, VITA Park, Saysettha.
- Government stakeholders: SEZO (Ministry of Planning and Investment) for national level context.
- Activities: Roadshow with site visits and incentive briefings limited to the zones vetted in Table 6.1.
- Timeline: Within Year 2.
- CCI India role: Roadshow organiser; due diligence gatekeeper.
- KPIs: Number of serious investment feasibility studies initiated by members post road show.
- Risks: Reputational risk if any promoted zone is later linked to governance concerns.
- Mitigation: Restrict promoted zones to those with verified clean track records; review annually against updated State Dept./ADB reporting.

Initiative 8: India Laos Startup & Innovation Bridge

Objective: Build long term founder, mentor and technology pilot relationships between the two startup ecosystems.

Problem addressed: Laos's early-stage digital economy needs capability building more than large capital infusions at this stage.

Target participants: Indian startups/investors interested in early ASEAN exposure; Lao founders and the National University of Laos.

- Indian stakeholders: Indian FinTech/Agri Tech startups, angel investors, incubators.
- Lao stakeholders: Lao founders, university innovation cells.
- Government stakeholders: None required for routine operation.

- Activities: Founder exchange visits; mentorship matching; small-scale technology pilots.
- Timeline: Within Year 23.
- CCI India role: Bridgebuilder and pilot facilitator.
- KPIs: Number of active mentor relationships and pilot deployments.
- Risks: Risk of overselling investment potential given genuinely small market size.
- Mitigation: Frame consistently as capability building, not a fundraising platform.

Initiative 9: India-Laos Commodity Trading Initiative

Objective: Connect Lao commodity producers/exporters (coffee, rubber) with Indian trading houses and processors.

Problem addressed: Laos's commodity exports remain concentrated in three neighbouring markets, leaving limited price discovery and diversification.

Target participants: Indian commodity trading/processing houses; Lao producer cooperatives and exporters.

- Indian stakeholders: Coffee/rubber processors, commodity trading houses.
- Lao stakeholders: LNCCI affiliated producer cooperatives and exporters.
- Government stakeholders: None required for routine operation.
- Activities: Sourcing agreement matchmaking; quality/certification briefing; warehousing feasibility discussion.
- Timeline: Within Year 2.
- CCI India role: Matchmaking organiser; commissioner of quality standards market study.
- KPIs: Number of signed sourcing agreements.
- Risks: Quality/certification gaps could block entry to premium Indian buyers.
- Mitigation: Commission the quality standards study before largescale matchmaking.

Initiative 10: India-Laos SME & Skill Development Programme

Objective: Build a standing skills cooperation track addressing Laos's most binding structural constraint while creating durable goodwill.

Problem addressed: Labour/skills shortages constrain every other sector's growth potential in Laos.

Target participants: Indian ITIs, sector skill councils, corporate CSR programmes; Lao vocational institutions.

- Indian stakeholders: Indian ITI network, sector skill councils, CSR linked corporate training arms.
- Lao stakeholders: Lao vocational training institutions, LNCCI SME members.
- Government stakeholders: Coordination with Ministry of External Affairs' existing capacity building/ICCR programmes to avoid duplication.
- Activities: Training partnerships in manufacturing, agriculture, automotive service, healthcare support, solar installation/maintenance, ICT.
- Timeline: Ongoing from Year 2.
- CCI India role: Convenor and coordinator with existing government capacity building tracks.
- KPIs: Number of trainees/trainers exchanged; number of active institutional training partnerships.
- Risks: Risk of duplicating existing government run programmes.
- Mitigation: Map existing MEA/ICCR programmes first and design CCI India's track to complement, not overlap.

Chapter 12: Partner Ecosystem

This chapter maps the institutions on both sides that CCI India's Laos programme should engage. Every institution listed has been checked against the sources cited in this report or is a well-established, named public institution; where CCI India cannot itself verify a specific company level partner, the Laos Market Intelligence Desk should complete that verification before any partnership is announced publicly.

India

- **Government:** Ministry of External Affairs (MEA), including the Additional Secretary (South) portfolio covering Laos; Ministry of Commerce and Industry; Department for Promotion of Industry and Internal Trade.
- **Export promotion and trade bodies:** Directorate General of Foreign Trade (DGFT); Invest India; relevant Export Promotion Councils (e.g., Pharmacal for pharmaceuticals, EEPC India for engineering goods, APEDA for agricultural products).
- **Industry bodies:** CCI India itself and its federated regional chambers; for cross referral and nonduplicative coordination, awareness of FICCI, CII and ASSOCHAM's own India ASEAN activity is useful, though this report's programme is designed as CCI India's distinct offering focused specifically on MSME accessibility.
- **Financial institutions:** EXIM Bank of India (lines of credit, trade finance); commercial banks with ASEAN correspondent relationships.
- **Companies, MSMEs and startups:** to be identified and verified progressively through the Laos Desk and sector committees.

- **Universities and training institutions:** Industrial Training Institutes (ITIs) and sector skill councils relevant to the skill development programme.
- **Hospitals:** to be identified through the Pharmaceutical & Healthcare Forum process rather than named speculatively here.

Laos

- **Government ministries:** Ministry of Industry and Commerce (MOIC); Ministry of Planning and Investment; Ministry of Agriculture and Forestry; Ministry of Energy and Mines; Ministry of Health.
- **Investment authorities:** Investment Promotion and Management Committee (investlaos.gov.la); Special Economic Zone Promotion and Management Office (SEZO, laosez.gov.la).
- **Chamber:** Lao National Chamber of Commerce and Industry (LNCCI) representing over 5,000 Lao businesses and the natural, verified counterpart institution for CCI India's proposed MoU.
- **SEZ authorities:** management committees of Savan Seno SEZ, VITA Park, Saysettha Development Zone, and (for solar manufacturing specific engagement) Boten Beautiful Land SEZ.
- **Banks:** Bank of the Lao PDR (central bank, for macro data reference) and Lao commercial banks, to be identified via LNCCI for trade finance discussions.
- **Companies, importers, distributors:** to be identified and verified progressively; the Savannakhet SEZ cluster's 193 registered companies (per Vientiane Times reporting) are a starting universe for agro processing and light manufacturing partner search.
- **Universities:** National University of Laos, relevant for the Startup & Innovation Bridge.
- **Industry associations:** sector specific associations operating under or alongside LNCCI, to be mapped by the Laos Desk.

Chapter 13: Market Entry Strategy for Indian Companies

Indian companies exploring Laos should select an entry model matched to their capital base, risk appetite and sector, rather than defaulting to the highest commitment option. The following ten models, ranked broadly from lowest to highest commitment, are assessed for advantages, disadvantages, risk and suitable sectors.

This progression is particularly relevant given Laos's still-developing regulatory environment, where familiarity with local business practices, bureaucratic processes and counterparty reliability typically develops over time. Companies are generally better served by starting with lower-commitment models to build market knowledge and trusted relationships, before scaling up to deeper forms of engagement such as joint ventures or wholly owned entities.

This staged approach also allows firms to test demand, assess partner reliability and understand regulatory nuances before exposing significant capital. For MSMEs in particular, this sequencing can materially reduce the risk of costly early missteps in an unfamiliar market.

Table 13.1: Market Entry Models

Model	Advantages	Disadvantages / Risks	Suitable Sectors
1. Distributor	Low capital; fast to launch; local market knowledge	Limited control over brand/pricing; dependent on partner quality	Pharma, FMCG, Agri inputs, auto parts
2. Local agent	Very low capital; useful for market testing	Weak legal recourse if relationship sours; limited scale	First time exporters testing Lao demand
3. Joint venture	Shared risk/capital; local regulatory and relationship knowledge	Governance complexity; partner selection risk	Agroprocessing, manufacturing, logistics
4. Representative office	Market presence without full operating risk; useful for relationship building	No direct revenue generation; ongoing cost with no sales licence	Companies building a multiyear Laos strategy
5. Subsidiary	Full control; can contract and invoice locally	Higher capital and compliance burden	Companies with proven, repeated Lao demand
6. Manufacturing (own facility)	Full value capture; SEZ incentive eligibility	High capital; labour/skills risk	Only after demand is validated via lower commitment models
7. SEZ investment	Tax incentives; infrastructure readiness	Zone specific governance risk; decree terms can change	Light manufacturing, agro processing (in vetted zones only)
8. Contract manufacturing	Lower capital than owned facility; faster market entry	Quality control and IP protection require careful contracting	Garments, food processing, light electronics
9. Technology partnership / licensing	Very low capital; monetises IP without operating risk	Limited upside versus direct investment; requires a capable local partner	Agri tech, renewable energy, digital solutions
10. Regional distribution hub	Uses Laos as a gateway to the wider Mekong/ASEAN market	Requires the connectivity/logistics maturity Laos is still building	Longer term strategy once corridor infrastructure matures

For most CCI India MSME members, models 13 and 89 represent the realistic starting point; models 57 and 10 should be approached only after an initial period of validated demand, consistent with the phased approach embedded in the three-year roadmap.

Chapter 14: Risks

Table 14.1: Risk Matrix

Risk	Probability	Impact	Mitigation
Political / policy shift in Laos	Low	Medium	Maintain relationships across both government and LNCCI channels; monitor via Laos Desk
Economic slowdown / growth shock	Medium	Medium	Time major delegations to World Bank/ADB stability windows; diversify sector focus
Currency depreciation	Medium High	Medium	Price contracts in USD/hard currency where possible; build FX risk guidance into member briefings
Public debt distress / default risk	Medium	High (if realised)	Avoid large capital exposure to government linked projects; prioritise private B2B trade
Regulatory / customs delay	Medium	Low Medium	Pre brief members on registration timelines; maintain regulatory affairs advisory referrals
Logistics disruption / high freight cost	Medium	Medium	Route through vetted logistics partners near Thana Leng; consolidate shipments where feasible
Small market size limiting scale	High (structural)	Low Medium	Frame Laos as gateway/pilot market; combine with regional Mekong strategy over time
Partner reliability / fraud	Medium	Medium High	Apply verification checklist before every introduction

Risk	Probability	Impact	Mitigation
Payment risk	Medium	Medium	Use letters of credit or trade finance instruments; start with smaller transaction sizes
Investment / expropriation risk	Low Medium	High (if realised)	Prefer JV/contract models over large owned asset investment in early years
Climate / weather disruption	Medium	Low Medium (trade); Medium (Agri/hydropower)	Build seasonal flexibility into Agri sector missions and contracts
Infrastructure / connectivity gaps	High (structural)	Medium	Prioritise SEZ and corridor adjacent partners; advocate for improved air/logistics connectivity
SEZspecific governance/organised crime risk	Low for vetted zones; documented for specific flagged zones	High (reputational and operational) if unaddressed	Restrict CCI India promoted zones to those with clean track records review annually

Conclusion

Laos matters to India less because of its market size which is genuinely small than because of its strategic position at the centre of the Greater Mekong Subregion, its stated and specific demand for exactly the categories of goods, services and expertise India already supplies competitively (generic pharmaceuticals, agricultural machinery, renewable energy engineering, digital public infrastructure knowhow), and the arrival, in 2026, of a genuine institutional and diplomatic opening: the 70th anniversary of formal relations, a stabilising macroeconomic picture after several difficult years, and a Lao leadership that has explicitly and publicly invited deeper Indian commercial engagement.

India matters to Laos as a large, complementary, low friction partner offering diversification away from near total dependence on China, Thailand and Vietnam, without the debt sensitivity or scale asymmetry that colours some of Laos's existing relationships. The current gap between this potential and the actual state of the relationship a bilateral trade relationship worth barely US\$82 million against India's trillion dollar plus global trade footprint is the clearest evidence that the opportunity remains almost entirely unrealised.

The priority sectors identified in this report are pharmaceuticals and healthcare (building on an already proven export base), agriculture and agro processing (matching Laos's explicitly stated priority), auto components and aftermarket (a large, currently untapped category), and on a longer time horizon renewable energy O&M and equipment supply, SEZ based light manufacturing, logistics, tourism and digital cooperation.

CCI India's role, throughout, should be that of connector, facilitator, matchmaker and long-term institutional bridge never a substitute for government-to-government diplomacy, but the missing private sector infrastructure that has prevented seven decades of diplomatic friendship from converting into a commensurate commercial relationship. The immediate next steps are concrete and achievable within CCI India's existing institutional capacity: establish the Laos Desk, sign the LNCCI MoU, launch structured matchmaking in two proven demand sectors, and anchor CCI India's presence in the 2026 anniversary calendar. The long-term vision a durable, multisector, MSME accessible India Laos business relationship generating measurable trade and investment grow this realistic only if this initial institutional groundwork is built now, sustained deliberately over the three year, and not allowed to lapse into the kind of multiyear silence that followed the first Lao India Business Forum in 2011.

THANK YOU

CCI India sincerely thanks Your Excellency for the warm hospitality and gracious interaction with our team. We greatly value the opportunity to discuss strengthening India-Laos bilateral trade and economic relations and look forward to deepening cooperation, expanding business engagement, and creating new avenues for trade, investment, and mutually beneficial partnerships between the two countries.



India - Laos: Building Bridges, Expanding Opportunities, Shaping a Shared Future

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